POSITION PAPER OF JAPANESE CHAMBER OF COMMERCE & INDUSTRY IN VIETNAM AT ANNUAL VIETNAM BUSINESS FORUM 2020

Thanks to various types of support from the Vietnamese Government including the implementation of investment incentive schemes, the total approved investment amount from Japan in four years from 2017 to August 2020 reached USD 20.3 billion, making Japan the second largest country of FDI. On a single-year basis, Japan was the largest investor in 2017 and 2018.

In order to further expand investment from Japan (a high-ranked investor), to achieve a V-shaped recovery for the Vietnamese economy as well as to respond to the new normal of post Covid-19, we would like to illustrate some challenges, as well as to propose their solutions as follows.

1. Challenges in the establishment of a manufacturing and assembling base as the backbone of a global supply chain

1.1. Timing for the audit of production facilities related to the construction of large-scale factories

Challenges:

- Currently, the construction of a new factory with an area of 20,000m^2 or greater is classified as a Grade 1 project subject to the administration of the Ministry of Construction. Therefore, each factory and production facility is required to be audited and approved step by step.

  After these two stages of approval, the enterprise can finally start adjusting their production line, including the adjustment of the yield rate in order to start the production of commercial products. However, due to the lengthy audit period of the production facility, it is difficult for enterprises to determine when to start production. This uncertainty of the timing increases the risk of investing in Vietnam.

Request:

- We would like to ask for the relaxation of regulations on the timing for the audit of production facilities related to the construction of large-scale factories as the adjustment of production lines can be started in parallel with the audit of production facilities.

1.2. Changing of approval period of tax incentives for large-scale investment

Challenges:

- In the existing policy, an enterprise can benefit from tax incentives by applying to the Vietnamese authorities for the investment project capitalized at VND 6 trillion or more and disbursed within three years. The Japanese enterprises may first make small and medium-scale investments and we will decide whether to proceed to a large-scale investment after monitoring the market reaction towards the initial investments. In that circumstance, we believe that the number of large-scale projects will increase if the authorities certificated the project, whose total amount of a series of investments exceeds VND 6 trillion, as a large-scale investment project.

Request:

- We would like the Vietnamese Government to admit applying the tax incentive in case that enterprises make a series of investment in the same field or make an additional investment and make a cumulative investment of more than VND 6 trillion in total amount.

1.3. Benefiting from tax incentives for Export Processing Enterprises

Challenges:

- Japanese enterprises are confronted with challenges related to the utilization of tax benefits for Export Processing Enterprises (EPEs).
- After the enforcement of Decree No. 82/2018/ND-CP, EPE licenses have not been granted unless an establishment of a factory is completed, and the taxes on land acquisition, factory construction and equipment importation, which should be exempted, become expenses for enterprises. There are several cases in which those expenses have become burdensome to enterprises who are entering the market in Vietnam.

Request:

- We would like to request for a written clarification that a part of the expenses associated with land acquisition, factory construction and equipment importation that enterprises had paid prior to the grant of the license shall be exempted when granting an EPE license. Furthermore, we strongly require that the EPE license shall be granted along with the application of IRC (Investment Registration Certificate) as it has been conventionally done.

1.4. Application of the tax incentives for the whole supply chain

Challenges:

- Many Japanese enterprises have expanded their business activities into Vietnam by utilizing the incentive scheme established by the Vietnamese Government. The establishment of additional incentive schemes seems to be the key to attracting the whole supply chain (including the supporting industries) of Japanese enterprises to relocate to Vietnam. In Japan, for example, there exist cooperative companies surrounding large enterprises, and there is a complicated and robust role division associated with production activities between large enterprises and their cooperative companies. It is thought that attracting not only large enterprises but also their cooperative companies (as a whole production system) will bring more value to Vietnam. By doing so, not only will large enterprises expand into Vietnam, but their cooperative companies will also be able to.

Request:

- Corporate tax incentives will be applied individually to each company by considering whether the preferential taxation system should be applied to each of a company's projects. However, if the investment is made for a high-tech industry, or if the investment amount exceeds a certain standard, we would like to require that all companies in the supply chain be granted unified corporate tax incentives.

1.5. Implementation of new preferential treatment

Challenges:

- When Japanese companies in Vietnam (such as automobile manufacturers) make investments in equipment for production plants, it is difficult to make investments in the equipment for production lines intended for the domestic market because the Vietnamese domestic market has not grown to such a scale that the amount of capital invested can be recovered.

- In regard to the attraction of manufacturing industries, the material industry (such as high-quality metals and plastics) has not grown in Vietnam. Even if Japanese companies develop their suppliers in Vietnam, most of those suppliers will disengage from trading with Japanese companies and transfer to trading with companies from other countries as soon as they reach to a certain level. The dependence on imported materials, therefore is increasing, making it difficult for the high value-added and high-quality material industry to grow in Vietnam.

Request:

- While waiting for the domestic market to grow, we would like the Vietnamese government to consider introducing financial subsidies and tax incentives for investment of equipment such as molds and jigs in order to promote the investment by automobile manufacturers.
- To attract Japanese companies that manufacture advanced products and to develop suppliers that can produce high value-added and high-quality materials in Vietnam, we would like the Vietnamese Government to consider introducing incentive regimes such as tax benefits for suppliers of high-value-added and high-quality materials and for companies that develop such suppliers.

2. PPP (Public Private Partnership) Law

Challenges:

- Vietnam's continued infrastructure development, including power generation, airports, roads, ports and even hospitals, is essential for sustainable economic growth beyond Vietnam's COVID-19 containment. On the other hand, as encountered in all emerging countries, there is a limitation in financing those infrastructure developments from only public investment and domestic private funds. In such circumstances, it is undeniable that the PPP approach which diverts overseas private funds to Vietnam's domestic infrastructure development and therefore reduces the burden on the national treasury becomes important.
- The method for financing a project is generally used for infrastructure development by this PPP scheme, and only the cash flow generated by the infrastructure business is positioned as the source of repayment. Therefore, when financing a huge amount of development funds, it is important how the quality of the business itself is secured.

Request:

- Ensuring bankability requires a balance of risk sharing between the host country and the business operators, ensuring of government guarantees in times of need, and the operation of highly transparent regulations. In particular, the following is still necessary for the participation from Japanese companies:
  - The government guarantee on the contract fulfillment such as the payments from state-owned enterprises to PPP operators,
  - Applying international laws without being limited to the Vietnamese laws as governing laws, and
  - Reconsidering the ensuring of foreign currency conversion, in which the guarantee scope is set within 30% of project revenue in Vietnamese currency (VND) after subtracting expenses.
- Even after the enforcement of the new PPP law in 2021, we would like to continue discussions with relevant ministries and agencies and members of the National Assembly

on securing of the above conditions through improvement of laws and regulations as well as achieving early application of flexible conditions for each project operation.

3. Improving the environment for promoting M&A (Law on Securities, Law on Management and Utilization of State Capital)

Challenges:

- Similar to Japan, insider trading is prohibited in the buying and selling of listed stocks under the Law on Securities of Vietnam. However, because of the abstractness of provisions of the Law on Securities, it is unclear how to determine what is considered to be insider information. On the other hand, in Vietnam, there have been almost no cases in which insider trading has been caught, and we have acknowledged that there are some Vietnamese listed companies that have little awareness of insider trading regulations in the first place. For this reason, when a Japanese company considers acquiring capital from a Vietnamese listed company, the handling of non-public information obtained through due diligence, etc. may become a bottleneck, and the capital acquisition may not be realized.
- Regarding the foreign investment in publicly listed companies, a foreign investment quota of up to 49% of capital is stipulated in the laws for many industries that meet the conditions set for the "conditional investment sectors" of the Law on Investment, which is stipulated in the government decree in relation with the Law on Securities. Regarding this point, the revision of the Government decree in 2015 made it possible for foreign investors to own 100% of capital in several industries. However, there are still investment restrictions in many industries, thus discouraging capitalization and investment from Japanese companies.
- Specific regulations regarding the privatization of state-owned enterprises are stipulated in the government decrees. However, from the perspective of international M&A standards, we think there is still much room for the revision of the stock price valuation method and divestment method when determining the sale value.

Request:

- We would like the Vietnamese Government to clarify the operational standards for insider trading restrictions related to trading of publicly listed companies' shares. In particular, please clarify the operational standards for insider trading restrictions in circulars, etc.
- We also expect the relaxation of restrictions on "foreign ownership limits in publicly listed companies". We hope that the new government decree currently being prepared will further expand the investment quota for foreign investors.
- We would like to request for the revision of the stock price valuation method and divestment method of state-owned enterprises' stocks. For example, we hope to see improvements to the fact that open bidding is stipulated as a principle and that conducting due diligence is not clearly stipulated in law.

4. "Challenges on tax affairs"

Challenges:

- Consistency of legislative interpretation: Vietnam has tax incentives for supporting industries and high-tech industries. However, the targets and criteria for these incentives are not always clear and in some cases, different ministries, agencies and provincial governments have different interpretations. Preferential taxation may not be an incentive but a risk if there is a possibility of an ex post facto tax penalty by tax audit.

Request:

- In order to avoid this, we would like to ask the Vietnamese government to take measures to make existing tax incentives become more utilizable by issuing guidance to clarify the existing regulations.

Challenges:

- Target renewal: Vietnam offers preferential tax regimes to companies who hold high-tech licenses as incentives to attract manufacturing bases for advanced technology. However, subjects of incentive for companies with high-tech licenses are intended only for the technologies and products that were being applied at the time of application, and do not include new technologies and products, so they are not strong incentives for companies to introduce new advanced technologies and products.

Request:

- In particular, cutting-edge technologies and products have very short product cycles, and there are cases where the same models of smartphones employ completely different technologies and parts after 4 to 5 years. We therefore hope that Vietnamese Government will establish a regime that grants incentives for technology and product updates by the means of high-tech license re-examinations and extensions of exemption periods.

Challenges:

- Scope of taxation: Regarding taxation on transfer pricing, in the circumstance that companies with many related party transactions such as foreign-affiliated companies (including Japanese companies) are targeted, the increase of the permissible range for determining tax exemption from the first quartile (top 75% or higher) to the 35th percentile (top 65% or higher) was proposed. Whereas many other developed countries adopt the first quartile, the 35th percentile is a strict and disadvantageous regulation because it increases the possibility of unreasonable double taxation between the two countries.

Request:

- We ask for the keeping of the current first quartile in line with international practice.

Challenges:

- Obligation to prepare a country-by-country report for a subsidiary under the regime of transfer pricing taxation: The draft of the amended decree suggests a case where a subsidiary that is a Vietnamese body corporate is obliged to prepare a country-by-country report, but this is an unrealistic request and imposes an excessive burden and risk on the subsidiary.

Request:

- Since subsidiaries rarely have information on parent companies or subsidiaries in other countries, this provision unnecessarily increases the risk of investing and establishing a body corporate in Vietnam. We therefore request for its deletion.

Challenges:

- Prior confirmation system: The prior confirmation system in which Vietnamese authorities and authorities of other countries including Japan discuss to agree on the scope of taxation in advance does not function, thus increasing the management risk of Japanese companies in transfer pricing taxation.

Request:

- As a method to minimize transfer pricing tax risk, a prior confirmation system has been established between Vietnamese authorities and authorities from other countries including

Japan to discuss and agree on the scope in advance, but even now the final signer of Vietnamese side has not been decided, and the system has not been functioned. Therefore, we would like to ask for the improvement of the situation.

5. "Challenges on labor affairs"

Challenges:

- Issue on abolition of short-term employment: The revised Labor Law have abolished the classification of short-term employment and seasonal employment, which was previously stipulated. However, since short-term employment is one of the means to respond to production fluctuations, there is a concern that companies engaged in production activities in Vietnam will have difficulty in securing human resources due to the abolition of short-term employment, and unable to respond to current production fluctuations as well as the ones linked to overseas markets, and that will lead to a decline in competitiveness.

Request:

- We would like to request the Vietnamese Government to consider labor-related government ordinances that contribute to maintaining production activities and responding to market conditions, such as considering new employment categories as a means to respond to production fluctuations, and increasing the renewal frequency of employment contract instead of life-term employment.

Challenges:

- Issue with overtime-work regulation: The yearly overtime limit is usually 200 hours, and 300 hours in special cases, which is shorter than the usual 360 hours in Japan. It decreases the flexibility of companies' operation in Vietnam and leads them to be less internationally competitive.

Request:

- In order to increase flexibility, we would like the Vietnamese Government to admit the unnecessity of application for extension to 300 hours, and stipulate that the overtime exceeding 300 hours should be permitted within a labor-management agreement.

Challenges:

- Issue on process to determine the minimum wage: The ambiguous minimum wage determination process is one of the factors that increase the management risk of a company.

Request:

- The disclosure of the calculation standard makes it possible for companies to formulate a management plan with an outlook, and defining the scope of the minimum wage as the total amount of payment will lead to the reduction of management risk. Therefore, we would like to request for the transparent operation of minimum wage determination process.

Challenges:

- Issue on period and number of renewal of work permit for foreign workers: The revised Labor Law stipulates that the work permit for foreign workers is valid for two years and can be renewed once. If the reapplication for work permit is not accepted after four years when the first renewal expired, or if procedures such as one-time homecoming is required to reacquire it, administrative and technical instructions toward local companies will stagnant and corporate competitiveness may decline.

Request:

- We would like to ask formulating a government ordinance that clearly defines the procedure so that foreign worker can quickly obtain new work permit with a simple procedure even after the expiration date.

Challenges:

- Issue on recruitment procedures by foreign-owned organizations and individuals: A new Decree requesting the implementation of recruitment activities through an employment center approved by Ministry of Labour, War Invalids and Social Affairs, when hiring Vietnamese employees by companies or individuals with a foreign capital of 51% or more, is being drafted. If this amendment is approved, most of the foreign companies will need more time to hire, which may hinder their business activities.

Request:

- We would like the Vietnamese Government to keep allowing companies and individuals with a 51% or more foreign capital to directly hire Vietnamese workers.

6. Energy Infrastructure

6.1. Development of energy infrastructure for diversification of environment-friendly energy sources

Challenges:

- Due to the increase in power demand associated with economic growth, securement of electricity through rapid development of power generation and electricity grid has become an urgent issue. In order to secure energy including electricity, which is indispensable for economic and social development, in addition to the development of oil, natural gas and coal produced in domestic, which is considered to contribute to the development of domestic industry and economic infrastructure, a comprehensive mix of energy sources including energy imports is also increasingly necessary. In such circumstances, it is necessary to consider energy sources while taking into account the unique conditions of Vietnam, as well as to consider the environmental aspects that have been attracting attention in recent years.
- In term of environmental consideration, LNG and renewable energy have been attracting attention as energies with low environmental impact. However, there are issues of infrastructure development and institutional design for utilizing those sources.

Request:

- In order to utilize LNG, it is indispensable to develop infrastructure such as receiving and storage facilities for imported LNG, gas pipelines to utilization sites such as power plants, etc. Based on the master plan for the development of the gas industry (established in 2017), we would like to request the Vietnamese Government to promptly develop the infrastructure for this industry, as well as to understand the importance of securing bankability for the development of power generation projects using LNG, etc., as in the discussion of the PPP Law. The same request is also applied to the development of domestic resources.
- In regard of institutional design, we would like to strongly request for a stable regime so that overseas investors can easily develop their medium- to long-term investment plans, especially for renewable energies as follows:
  - The keeping and expansion of a more appropriate feed-in tariff mechanism;
  - The formulation of a more bankable electricity purchase contract;

- The speeding up and simplifying of procedures for adding projects to the Power Development Plan (PDP);
- The granting of incentives to companies, factories and industrial zones introducing renewable energies; and
- The further relaxation of regulations on the introduction of off-grid power sources.

- Coal-fired power generation remains an important base load power source in Vietnam. In addition to environmental measures such as the improvement of the efficiency of existing coal-fired power plants and the installment of additional environmental equipment, we would like Vietnamese Government to consider new construction of coal-fired power plants using leading-edge technologies as an important measure for securing stable and affordable electricity.

6.2. Granting incentives for energy-saving and environmental-friendly activities and products

Challenges:

- Not only the efforts by the power supply side but also the efforts by the power demand side are necessary to solve the issues on the energy supply at an early stage.

Request:

- We propose to give incentives to "energy-saving activities" in order to reduce unnecessary electricity demand and limit the effects of tight supply-demand balance of electricity.

Challenges:

- High CO2 emissions and escalation of air pollution hinder the realization of a sustainable and efficient society in Vietnam.

Request:

- Promoting the spread of products with low environmental impact by granting incentives is one of the effective measures for decarbonization. For example, by granting incentives to electric vehicles and hybrid vehicles instead of conventional gasoline vehicles to support their widespread use, it can be expected to lead to decarbonization and elimination of air pollution.

7. Request for the Government in term of individual FDI

- In order to promote FDI of Japanese companies, we believe that it is extremely important for Japanese companies to inquire of and confirm with the Vietnamese Government in advance about the specific application of each law and regulation that may pose a problem when making investment such as: details of procedures required when executing individual investment project and specific application of preferential taxation regimes for each individual project.
- Regarding this matter, JCCI has already proposed the establishment of a prior inquiry system for the specific application of each law and regulation at VBF from 2017, with reference to the procedure for prior confirmation of application of laws and regulations of Japan (the Japanese version of a no-action letter system), and we would like to take this opportunity to request the Vietnamese Government to work toward its realization again. On that occasion, we would like to also request the Vietnamese Government to establish a general contact point for prior inquiries and consultations within the central government,

and secure and strengthen cooperation between the general contact point and each provincial authority.